

California Trustee House Sale Checklist

The 12 steps every California successor trustee needs to complete when selling trust real property, in the right order, with the right timing. Written by a licensed California real estate broker and attorney.

STEP 01

Locate and review the trust document

Find the original trust document and all amendments. Read it carefully, it contains your authority, your obligations, and the instructions for distributing assets. If you cannot locate it, check with the grantor's attorney, bank, or safe deposit box.

■ *Immediately*

STEP 02

Obtain multiple certified copies of the death certificate

You will need certified copies, not photocopies, for banks, title companies, government agencies, and other institutions. Order at least 8-10 copies from the county vital records office or funeral home. Running out is a common and frustrating delay.

■ *Within 1 week*

STEP 03

Notify beneficiaries as required by California law

California Probate Code Section 16061.7 requires that all beneficiaries and heirs at law be notified of the grantor's death and their rights under the trust within 60 days of you becoming successor trustee. This notification must include a copy of the trust or a summary. Missing this deadline can create legal liability.

■ *Within 60 days*

STEP 04

Secure all trust assets

Take immediate steps to protect trust property. For real estate: change locks, maintain utilities, verify insurance is in force, and address any immediate maintenance issues. For financial accounts: notify banks of the grantor's death and your successor trustee status. For personal property: inventory and secure valuables.

■ *Immediately*

STEP 05

Obtain a Taxpayer Identification Number (TIN) for the trust

Upon the grantor's death, a revocable living trust becomes irrevocable and requires its own federal tax identification number, separate from the grantor's Social Security number. Apply for an EIN at irs.gov. This is required to open trust bank accounts and file trust tax returns. Takes about 15 minutes online.

■ *Within 2 weeks*

STEP 06

Open a trust bank account

Open a checking account in the name of the trust using the new EIN. All trust income, expenses, and transactions should flow through this account. This keeps trust finances separate from your personal finances, which is essential for your protection as trustee and for the accounting you will provide to beneficiaries.

■ *Within 2 weeks*

STEP 07

Prepare a complete inventory and appraisal of trust assets

Document every asset held in the trust with its fair market value as of the date of death. For real property, obtain a professional appraisal, this establishes the stepped-up basis for tax purposes and demonstrates your fiduciary diligence. For financial accounts, request date-of-death statements from each institution.

■ *Within 60 days*

STEP 08

Identify and pay valid debts and creditor claims

The trust is responsible for the grantor's outstanding debts, final bills, and valid creditor claims. Unlike probate, there is no formal creditor notice period for a trust, but you should make reasonable efforts to identify outstanding obligations before distributing to beneficiaries. Distributing assets before paying valid debts can create personal liability for the trustee.

■ *Before distribution*

STEP 09

File required tax returns

Tax obligations include: the grantor's final individual income tax return (Form 1040), a fiduciary income tax return for the trust (Form 1041 / California Form 541) for each year the trust has income, and potentially a federal estate tax return (Form 706) if the estate exceeds the federal exemption. Work with a CPA experienced in estate and trust taxation.

■ *Per IRS deadlines*

STEP 10

Sell or transfer real property as directed by the trust

If the trust directs that real property be sold, hire an agent experienced in trust administration sales. Your fiduciary duty requires selling at or near fair market value, document the pricing decision carefully. Sign all documents as "Trustee of [Trust Name]." Provide the buyer's title company with a Certification of Trust confirming your authority. If the property is to be distributed to a beneficiary rather than sold, record a new deed transferring title from the trust to the beneficiary.

■ *Per trust instructions*

STEP 11

Prepare a final accounting for beneficiaries

Before making final distributions, prepare a complete accounting showing all assets received, all income earned, all expenses paid, and all proposed distributions. Provide this to all beneficiaries and obtain their written approval, or wait the statutory period for objections. This accounting protects you from future claims and is a legal requirement in most trust administrations.

■ *Before final distribution*

STEP 12

Make final distributions and close the trust

Distribute remaining assets to beneficiaries according to the trust's instructions. Get signed receipts from each beneficiary acknowledging receipt of their distribution. Close trust bank accounts, file a final tax return, and retain all trust records for at least 7 years. Congratulations, your duties as trustee are complete.

■ *After accounting approved*

William B. Plevy, California Real Estate Broker (DRE #01956776) and member of the California State Bar. Wolf Allies is a real estate referral platform connecting trustees, executors, and families with specialists in trust, probate, and inherited property sales, free, and it never affects what you pay your agent.

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